



DoView Tool G18 - Suitable Types of Economic Evaluation Based on Available Effect Size Information

Below are set out five types of economic analysis used to estimate the value for money of any initiative. The purpose of this tool is to ensure that people doing economic analysis select the right type of analysis depending on the effect size information available from impact evaluation done on an initiative.

1 Cost of intervention analysis

This just looks at the cost of an intervention. The attempt should be made to capture all costs. Ideally, a standard approach to costing should be used across different initiatives because this means that you can make the useful comparisons of costs between projects.

2 Hypothetical Cost Benefit Analysis

Use when evidence-based effect sizes are not available. All of the costs of an initiative are measured (including the initiative's costs from 1 above and estimates of the cost of any other negative effects). You then use a hypothetical effect-size as the basis for working out the initiative's benefits (e.g. for a hypothetical effect size of 5%, 10%, or 20% improvement in an outcome, it is estimated that there might be, respectively: a net loss or gain of \$X per participant; \$Y per participant; or \$Z per participant).

3 Evidence-Based Cost Effectiveness Analysis (mid-range outcomes)

When you have evidence of the cost of making a mid-range outcome happen (e.g. getting a 20% increase in mid-range outcome X it costs approximately \$Y per participant).

4 Evidence-Based Cost Effectiveness Analysis

When you have evidence of the impact on a high-level outcome (e.g. getting a 20% increase in high-level outcome X it cost approximately \$Y per participant).

5 Evidence-Based Cost Benefit Analysis (high-level outcomes)

If you have an effect size generated from robust empirical evidence, e.g. a program costs \$W per participant, and negative impacts of the program are estimated to cost \$X while the positive benefits of the program are estimated at \$Y per participant, there is therefore an overall benefit of the program of \$Z per participant).

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